3.1.3 Competition and market conditions

Unit 3.1 What is business? · 7 key points

- **External factors named by AQA:** competition, market conditions, incomes, interest rates, demographic factors, environmental issues and fair trade
- **Competition:** more rivals means more choice for customers and pressure on prices and margins
- **Market conditions:** whether the market is growing, stable or shrinking
- **Market growth:** allows a business to grow without taking share from rivals
- **Effect on costs:** e.g. suppliers raising prices or wage rises in the local labour market
- **Effect on demand:** changes in competition or market conditions shift how much customers buy
- External factors are outside the business's control but it can respond to them